

1. WHAT IS A BDC BUSINESS ELEVATION LOAN?

A loan co-funded **50/50** by your Community Futures organization (CF) and the Business Development Bank of Canada (BDC). The borrower sees **one loan, one interest rate, and one payment** — but FaaSBank maintains two funds, two balances, and separate interest accruals behind the scenes.

Fees, insurance, and other non-interest items remain 100% with the CF. Only principal and interest split with BDC.

2. RATE STRUCTURE

- Rates are **fixed at origination**, not pegged to Prime. Prime is used *only* to set the BDC floor at the time of origination.
- BDC's portion always earns at least **Prime + 4%** — the **BDC floor rate**.
- You enter the **Borrower Fixed Rate (%)** in the BDC Participation Loan modal. FaaSBank derives **CF Fixed Rate (%)** and **BDC Fixed Rate (%)** from that.

PARTICIPATION SPLIT

CF 50%	BDC 50%
Created in FaaSBank by ticking the Multi? checkbox when adding a new loan. This opens the BDC Participation Loan setup modal.	

Scenario	CF earns	BDC earns	Borrower pays
Borrower rate < BDC floor	Below floor	Floor	Avg of CF & BDC
Borrower rate = BDC floor	Floor	Floor	Floor
Borrower rate > BDC floor	Borrower rate	Borrower rate	Borrower rate

Example with Prime = 4.45% $\Rightarrow$ BDC floor = 8.45%. A CF rate of 6.45% pairs with the 8.45% BDC floor to give the borrower 7.45% (the average).

3. REPAYMENT TYPES — STRAIGHT-LINE VS. BLENDED

Set via the Repayment Type field in the FaaSBank Calculator

	Straight-Line	Blended
Available when	Always	Only when Borrower Rate = BDC floor
Borrower payment structure	Constant principal ; total payment decreases over time as interest shrinks	Constant total payment each month for the life of the loan
Day Count	Actual/Actual — interest based on actual days in each period	30/360 — every month is treated as 30 days; year as 360 days
Insurance	Permitted	Not permitted (BDC program rule)
During partial disbursement	Principal repayments can begin immediately, but have the option of interest only for 12 months. Total payment fluctuates as interest tracks the advanced balance.	Interest-only payments until the loan is fully disbursed; principal payments begin only after final disbursement. Note: you are allowed to have 12 months interest-only.

4. INSURANCE

- Permitted on **Straight-Line** loans only.
- FaaSBank disables insurance fields automatically on Blended loans and shows this message:

BDC program requirement: Insurance is permitted only on Straight-Line repayment loans.

Blended payments require an equal P&I split each period; declining-balance insurance breaks that equality.

5. PAYMENTS

- Always due on the **1st of the month**. BDC collects from the CF on the 15th.
- The **Initial Payment Date** is auto-set from the **Disbursal Date**: disburse *on/before* the cutoff (6 business days before the upcoming 1st) $\rightarrow$ first payment is that 1st; disburse *after* the cutoff $\rightarrow$ first payment rolls one month. Stat holidays aren't factored in — adjust manually if needed.
- Early payments** must be posted as **principal-only / manual payment** (no penalty). FaaSBank's default applies interest first, so it will prompt you in the payment workflow.
- Late payments post normally; interest accrues to the actual posting date and BDC reconciles any split differences on their side.

6. DISBURSEMENT & ORIGINATION

- Loans must be **fully disbursed within 120 days** of the Loan Agreement (program rule — CF-monitored, not system-enforced).
- Partial disbursements are supported; behaviour differs by Repayment Type (see Section 3).
- Refinancing** an existing CF loan into a BDC loan is **blocked**.
- Top-ups** are not permitted. Additional funding must be originated as a new, separate loan.

7. SEEING THE SPLIT

Open the loan's **Statement** tab and expand any transaction row to view its per-fund breakdown: **Fund · Amount · Principal · Interest · Closing Principal**.